

Appreciation rates can be volatile, especially when looking at a smaller range of time. This was made clearly and painfully evident by the 2008 housing market crash. Many who purchased homes in 2007 saw years go by in which their property was worth less than they paid for it. However, if they keep holding on to those properties for a long period of time, they are more likely to see a rebound from that painful drop in value.

The median home price in 2007 (adjusted for inflation) was about \$270,000. The number continued to drop into 2012, when it reached a low of \$193,000—which looks like an irreparable \$77,000 loss. However, a slow increase into 2019 saw the median home price rise back to \$270,000.³ Though twelve years is a long time to wait for a home to return to its original value, the 2008 market crash is obviously a special case—and a perfect example of why you can't depend on appreciation in the short term.

When houses are selling like pumpkin spice in November, it's considered a seller's market, since sellers benefit the most. When houses are slow to sell, it's considered a buyer's market, since buyers will benefit the most from more housing inventory and less competition. Both markets come and go over the years. If you purchase a property and hope that a seller's market will come around (or stay around) and profit will fall into your lap, you are completely at the mercy of the unpredictable market. Whether or not you're able to sell your home (and when) will be out of your control.

Luckily, market appreciation is not the only way that your home might increase in value. Instead of letting an uncertain market control your choices, you can instead give yourself the highest probability of selling your home quickly and for a profit. In the next chapter, we'll show you how to make reasonable assumptions about the long-term appreciation rate you can expect from your home purchase. We'll also dive into some of the practical, accessible ways you can *force* appreciation—which is an assertive-sounding way to say that you can add value to your home on your own. The higher the odds you have of market appreciation and the more ways you can force short-term appreciation, the better.

CHAPTER SUMMARY